

price moving more than 50 percent in a day. Over time, however, the bitcoin seismometer has registered smaller and smaller earthquakes in bitcoin's price. Bitcoin has become more popular and therefore more widely traded, so its market has become more liquid. Therefore, when lots of people choose to buy or sell, the market is able to absorb these changes much more smoothly.

Even though bitcoin's daily percent price changes have decreased dramatically over the years—bringing it into the range of many small capitalization growth stocks—it is still a volatile asset. In Figure 7.11, compare the fluctuation of bitcoin's daily percent price changes in 2016 with that of Twitter and a market stalwart like AT&T.

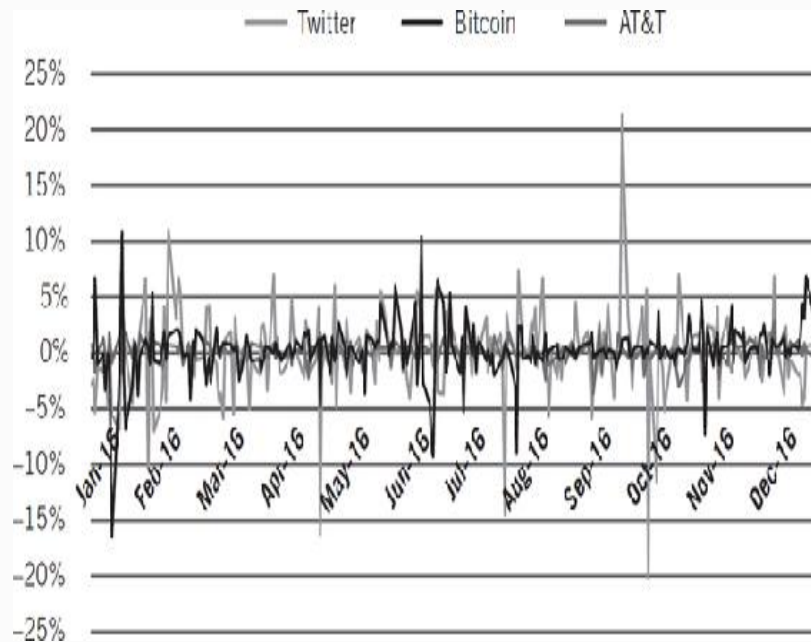


Figure 7.11 ■ Bitcoin's daily percent price changes versus Twitter and AT&T in 2016

Data sourced from Bloomberg and CoinDesk